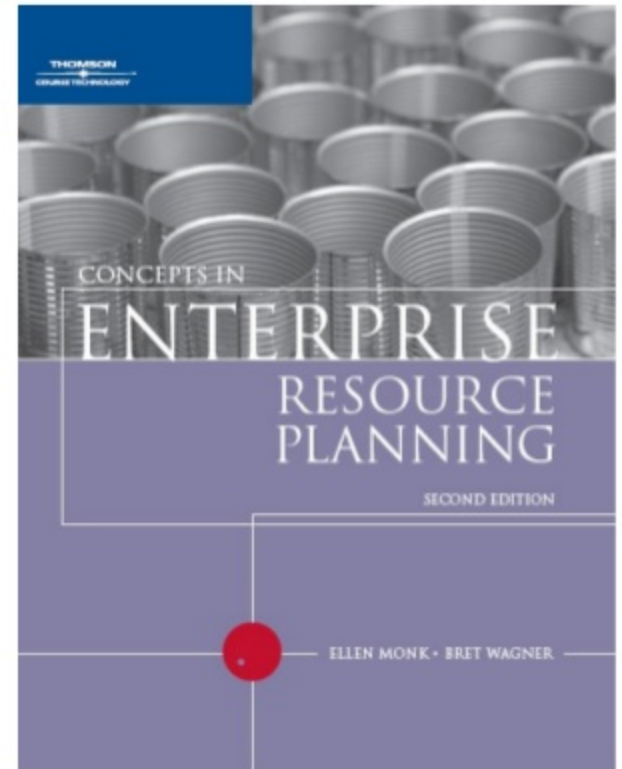


Concepts in Enterprise Resource Planning

2nd Edition



Chapter 3

Marketing Information Systems and the Sales Order Process

Chapter Objectives

- Describe the un-integrated sales processes of Fitter Snacker, a fictitious company whose operations are used as an example
- Explain why un-integrated Sales and Marketing information systems lead to company-wide inefficiency, higher costs, lost profits, and customer dissatisfaction
- Discuss sales and distribution in SAP's R/3 system, and explain how integrated data sharing increases company-wide efficiency
- Describe how SAP R/3 processes a standard sales order
- Describe the benefits of Customer Relationship Management software, a useful extension of ERP software

Introduction

- In most companies, the marketing function either decides or has a key role in deciding:
 - What products to produce
 - How much of each product to produce
 - How the products are to be promoted and advertised
 - How the products should be distributed for maximum customer satisfaction
 - What price should be charged for the products

Introduction

- Marketing and Sales is involved in generating key data:
 - Recording sales
 - Creating customer bills (invoices)
 - Allocating credit to customers
- An integrated information system allows for efficient use of transaction data
 - Common database means data is consistent between functional areas, but
 - Incorrect data from one module will carry over to other modules

Overview of Fitter Snacker

- Fictitious Fitter Snacker Company produces two snack bars:
 - NRG-A: “Advanced Energy”
 - NRG-B: “Body-building proteins”
- Fitter Snacker has two sales divisions:
 - Wholesale: sells to middlemen who distribute bars to small shops, vending machine operators, health food stores
 - Direct: large grocery stores, sporting goods stores, other large chain stores

Overview of Fitter Snacker

- Direct Sales: offers volume discounts to encourage large orders which are more efficient to process
- Wholesale: charges lower fixed price because customer orders are already large (otherwise, the customer would be handled by Direct division)
- Both divisions offer terms of 2-10, net 30
 - Customers receive a 2 percent discount if they pay their invoices within 10 days
 - Invoice is due in 30 days
- Fitter Snacker also sells bars in store-brand wrappers for some chains

Problems with Fitter Snacker's Sales Process

- Fitter Snacker has separate information systems for three functional areas:
 - Sales order processing
 - Warehouse management
 - Accounting
- Sales transaction data is shared with accounting via periodic file transfers
- Credit data is shared between accounting and sales via paper printout
 - High number of manual transactions leads to many opportunities for data error

Sales Process

- The Sales Process involves a series of steps that require coordination between:
 - Sales
 - Warehouse
 - Accounting
 - Receiving
- Note that manufacturing is not generally involved in the sales process as NRG bars are usually sold from warehouse stock

Sales Process



FIGURE 3-1 The sales process

Quotations

- Fitter Snacker's current quotation process is a paper-based process
- Sales quotes are written up on a 3-part form:
 - Original goes to customer
 - First copy is faxed, then mailed, to sales office
 - Salesperson keeps second copy for personal records
- Common problems include:
 - Salesperson may make an arithmetic error or offer incorrect discounts
 - Customer may order before copy of quote is faxed
 - Faxed copy may not be legible

Sales Order

- Customers want delivery data when placing a sales order
 - Warehouse supervisor provides shipping date based on estimation of inventory and orders outstanding
 - Sales clerk uses shipping date plus shipping method to determine delivery date
- Sales clerk checks credit for existing customers against credit report generated on a weekly basis by accounting
 - Report may not reflect most current orders or payments

Sales Order

- Sales order is entered in customer order computer program that:
 - Stores customer order data for sales analysis
 - Prints out packing list and shipping labels for warehouse
 - Produces data file to create invoices
 - Provides data file for accounting department for financial, tax and managerial accounting purposes

Order Filling

- Small customers buy in display box quantities
- Large customers buy in case quantities
 - Sometimes cases are opened to fulfill small orders
 - Expensive (wastes labor and packaging)
 - Leads to inventory inaccuracy
- Inventory levels managed in a PC-based inventory program
 - Production records and packing lists are used to update inventory levels
 - Monthly physical inventory count used to check and correct inventory records

Order Filling

- When there is insufficient inventory to fill a customer order
 - The order can be delayed until more bars are produced
 - The available quantity can be shipped on time, with the balance sent in a separate shipment when available
 - The available quantity can be shipped on time, with the rest of the order cancelled
 - Information that balance of order was cancelled must be conveyed to accounting so correct invoice can be prepared
- How to make correct decision is complicated at Fitter Snacker

Invoicing

- Accounting prepares the invoice three times per week
 - Accounting department loads data from disk provided by sales department
 - Manual adjustments are made for changes to sales order (e.g. partial shipments)
 - When corrections aren't made on time, faulty invoices are sent

Payment and Returns

- Numerous problems occur in receiving customer payments
 - Customers may not return a copy of invoice with payment, making it harder to match payment to customer order
 - Customer may pay correct amount, even if invoice was not correct
 - Requires investigation by accounting
 - Making sure customer merits 2% discount for timely payment (2/10 net 30) requires manual effort

Payment and Returns

- Customers may return out-of-date or spoiled snack bars or damaged or defective cases
- Customer receives a credit for returned items
 - Customer is supposed to get a returned material authorization (RMA) number from Fitter Snacker to put on the defective snack bars before shipping them back
 - Without RMA number, Fitter Snacker's receiving department does not know how to process returned materials
 - Without RMA, accounting has a difficult and time-consuming task to credit proper account

Payment and Returns

- If payments or return credits are not properly credited, Fitter Snacker may believe that a customer is over their credit limit and:
 - Block a sales order that should be processed
 - Send a dunning letter that should not be sent

Sales and Distribution in ERP

- There may be up to six events for a sales order
 - Pre-sales activity
 - Sales order processing
 - Inventory Sourcing
 - Delivery
 - Billing
 - Payment

Pre-Sales Activity

- Provide customer pricing information via:
 - Inquiry: statement of prices for a particular customer for a particular quantity of product
 - Quote: a binding statement of prices for a particular customer for a particular quantity of product
- Presales activities can also include marketing activities such as sales calls, visits and mailings
 - Customer and sales data stored in the ERP system helps in preparing targeted marketing activities

Sales Order Processing

- Process can start by pulling data from inquiry or quote
 - Taking data directly from inquiry/quote that customer has approved minimizes errors
- Process includes:
 - Retrieving customer contact data
 - Recording items to be purchased
 - Determining pricing
 - Quantity discounts
 - Customer-specific discounts
 - Done automatically by system based on configuration settings
 - Automatic credit check

Inventory Sourcing

- Inventory records and production plans can be checked to determine whether sufficient material will be available to deliver customer's order on time
- This available-to-promise (ATP) check includes shipping times and considers weekend and holiday shutdowns
 - System can recommend increased production based on higher than expected sales
 - Sales orders place a reservation on material so that the material can't be sold to another customer

Delivery

- Delivery in SAP means creating an electronic document that directs the warehouse to pick, pack and ship the customer's order
- Deliveries can be grouped and released to make warehouse operations more efficient

Billing and Payment

- The system creates an invoice by copying data from the sales order
- The invoice can be printed and mailed to the customer, faxed or transmitted electronically by EDI (electronic data interchange) or the Internet
- The accounts receivable account is debited (increased) and sales account is credited automatically
- The customer can make a payment by mailing a check or electronically transmitting funds
 - Timely recording of payments is important for properly managing a customer's credit limit

Taking an order in SAP's R/3

- To enter a sales order in SAP's R/3, the sales order clerk must identify the customer and material ordered to the system
 - SAP identifies customers and materials via a unique number
 - Search functions allow the sales order clerk to find a customer or material number easily

Taking an order in SAP's R/3

Sales document Edit Goto Extras Environment System Help

Create Standard Order: Overview

Standard Order Net value 0.00

Sold-to party

Ship-to party

PO Number PO date

Sales Item overview Item detail Ordering party Procurement Shipping Reason for rejection

Req. deliv. date D 09/07/2004 Deliver. Plant

Complete div. Total Weight 0.000

Delivery block Volume 0.000

Billing block Pricing date 09/06/2004

Payment card Exp. date

Payment terms Incoterms

Order reason

Sales area 00FS / DI / SB 00 Fitter Sales, Direct, Snack Bars

All items

Item	Material	Order quantity	SU	S	Description	Customer Material Numb	#Ca	DG	HgLvlt	First date
										09/07/04
										09/07/04
										09/07/04
										09/07/04
										09/07/04

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Sold-to party: Where the customer's identification number is entered

P.O. Number: The number assigned by the customer to this sales order

Req. deliv. date: The date when the customer would like to receive the order

Material and Order quantity: What the customer is ordering

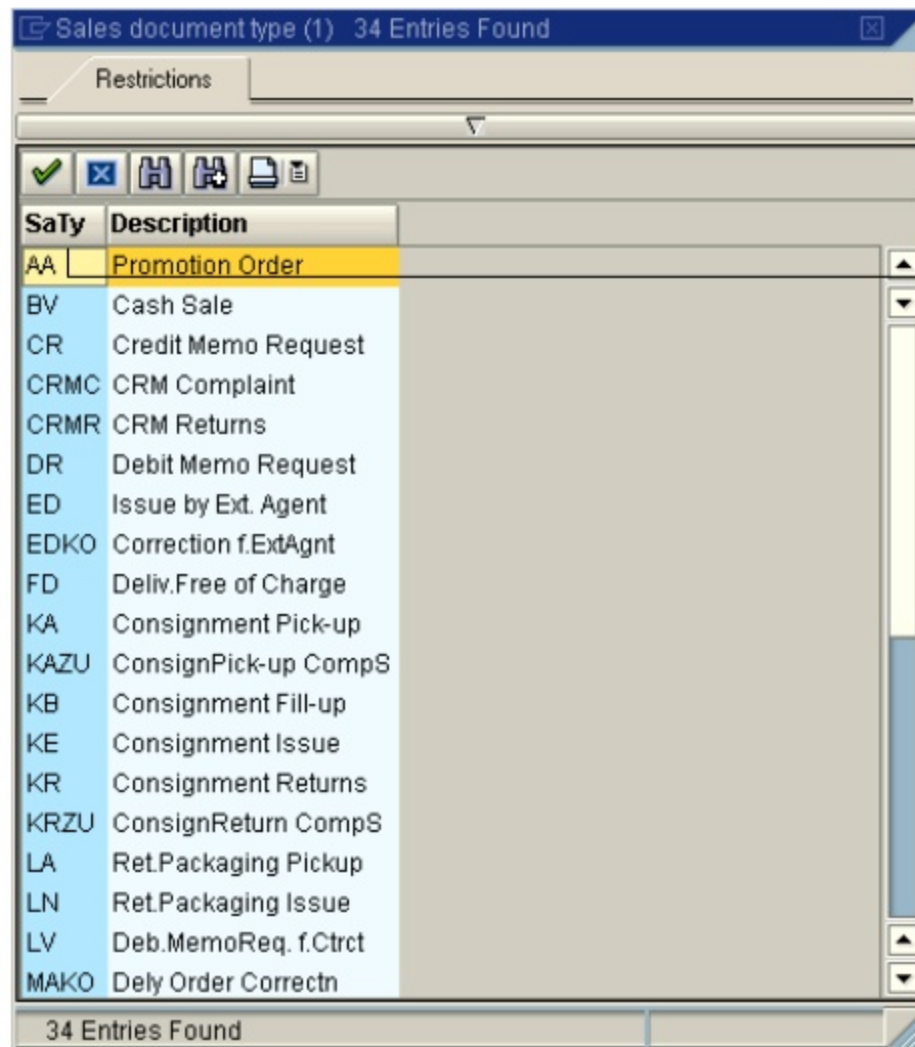
Figure 3-2 SAP R/3 order entry screen

Key Fields: Sales Order Screen

Data Entry Field	Explanation
Sold-to party	Identification Number assigned to customer
P.O. Number	The number assigned by the customer to the sales transaction. This is different from the sales order number assigned by the Seller (using SAP R/3) to the sales transaction. In a paper process, the purchase order number is usually a sequential number pre-printed on the purchase order form.
Req. deliv. date	The delivery date for the order requested by the customer. The SAP R/3 system will evaluate the ability to meet this date and suggest alternatives, if necessary.
Material	The identification number assigned in the SAP system to the item requested by the customer.
Order quantity	The number of units of the material the customer is requesting.

FIGURE 3-3 Data entry fields in the order entry screen

Sales Document Type



The screenshot shows a SAP window titled 'Sales document type (1) 34 Entries Found'. It features a 'Restrictions' tab and a toolbar with icons for selection, deletion, and printing. A table lists various sales document types with their codes and descriptions. The 'AA Promotion Order' entry is highlighted in yellow. A callout box points to the 'AA' code, defining it as the Sales Document Type.

SaTy	Description
AA	Promotion Order
BV	Cash Sale
CR	Credit Memo Request
CRMC	CRM Complaint
CRMR	CRM Returns
DR	Debit Memo Request
ED	Issue by Ext. Agent
EDKO	Correction f.ExtAgnt
FD	Deliv.Free of Charge
KA	Consignment Pick-up
KAZU	ConsignPick-up CompS
KB	Consignment Fill-up
KE	Consignment Issue
KR	Consignment Returns
KRZU	ConsignReturn CompS
LA	Ret.Packaging Pickup
LN	Ret.Packaging Issue
LV	Deb.MemoReq. f.Ctrct
MAKO	Dely Order Correctn

34 Entries Found

SaTy: **Sales Document Type**

Figure 3-4 Some of the sales order (document) types predefined in SAP R/3

Customer Search

Sales document Edit Goto Extras Environment System Help

Create Standard Order: Overview

Standard Order Net value 0.00

Sold-to party

Ship-to party

PO Number PO date

Sales Item overview Item detail Ordering party Procurement Shipping Reason for rejection

Req. deliv. date 09/07/2004 Deliver Plant

Complete div. Total Weight

Delivery block Volume

Billing block Pricing date

Payment card Exp. date

Payment terms Incoterms

Order reason

Sales area FS / DI / SB Fitter Sales, Direc

All items

Item	Material	Order quantity	SU

Restrict Value Range (1)

Customers (general) Customers per sales group Customers by Address Attrib...

Sales Organization

Search term

Postal Code

City

Name

Customer

Distribution Channel DI

Division SB

Sales office

Sales group

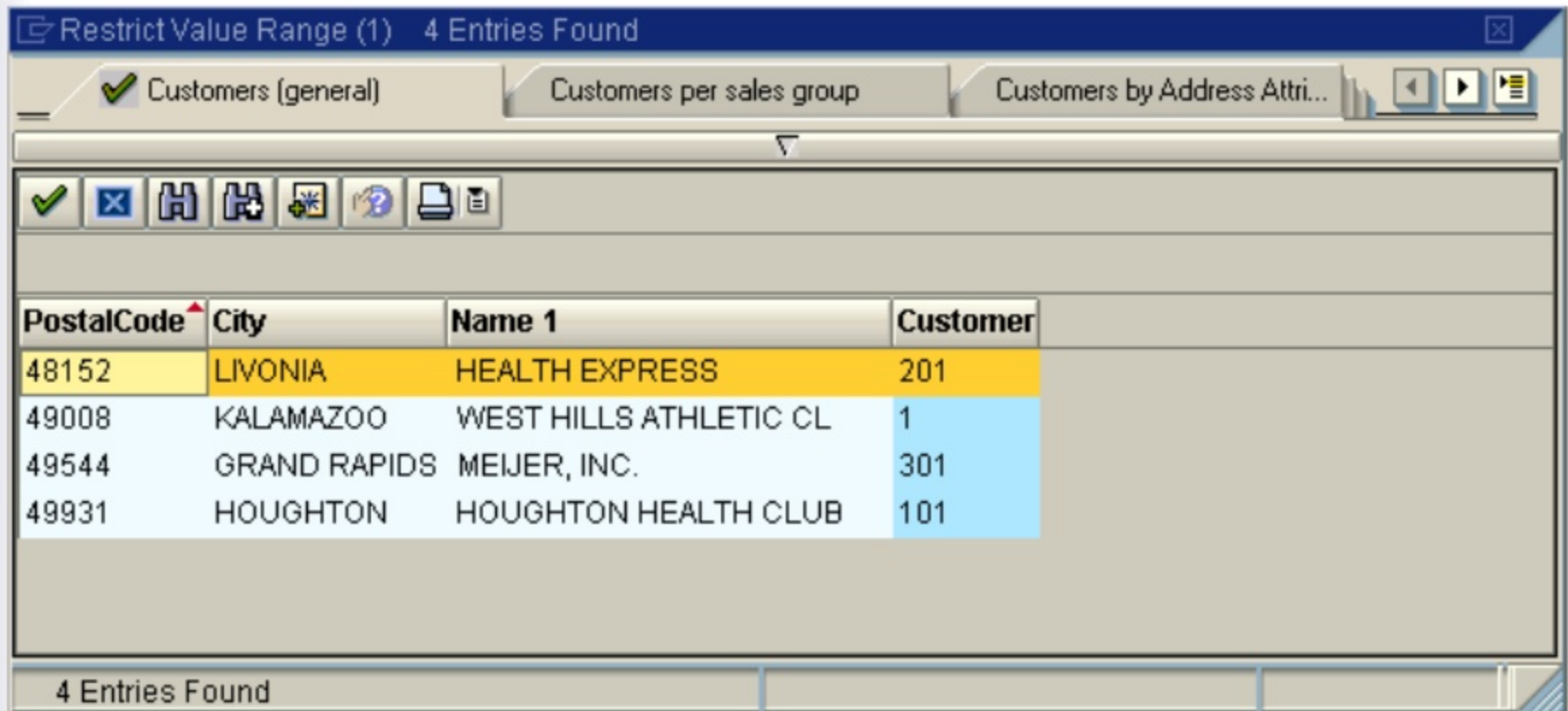
Maximum no. of hits 500

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Clicking on Sold-to party field produces a search icon. Clicking on the search icon calls up a search window with numerous search options

Figure 3-5 Search screen for customers

Customer Search Results



PostalCode	City	Name 1	Customer
48152	LIVONIA	HEALTH EXPRESS	201
49008	KALAMAZOO	WEST HILLS ATHLETIC CL	1
49544	GRAND RAPIDS	MEIJER, INC.	301
49931	HOUGHTON	HOUGHTON HEALTH CLUB	101

Figure 3-6 Results of customer search

Sales Order Data

- Information about Customers and Materials is stored in the central database as **Master Data**
 - Master data is relatively stable data shared by modules
- Organizational structures allow a company to group customers and salespeople
 - Distribution channels provide different ways to sell and distribute material to customers (e.g. wholesale, direct, etc.)
 - Allows for different pricing, delivery methods and minimum order quantities

Complete Order Screen

SAP

Sales document Edit Goto Extras Environment System Help

Create Standard Order: Overview

Standard Order: Net value: 4,815.00 USD

Sold-to party: 1 West Hills Athletic Club / 2001 S. 11th St. / Kalamazoo MI 49...

Ship-to party: 1 West Hills Athletic Club / 2001 S. 11th St. / Kalamazoo MI 49...

PO Number: WH83128 PO date:

Sales Item overview Item detail Ordering party Procurement Shipping Reason for rejection

Req. deliv. date: 09/07/2004 Deliver Plant:

☐ Complete dlv. Total Weight: 1,440 LB

Delivery block: Volume: 0.000

Billing block: Pricing date: 09/06/2004

Payment card: Exp. date:

Payment terms: 0001 Pay immediately w/... Incoterms: FOB Receiving Dock

Order reason:

Sales area: FS / DI / SB Fitter Sales, Direct, Snack Bars

All items

Item	Material	Order quantity	SU	S	Description	Customer Material Numb	ItCa	DG...	HgLwt	First dat
10	F100	10	CS	☒	NRG-A		TAN			09/07/...
20	F110	10	CS	☐	NRG-B		TAN			09/07/...
				☐						09/07/...
				☐						09/07/...
				☐						09/07/...

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Figure 3-7 Order screen with complete data

Inventory Sourcing

- Inventory sourcing determines if sufficient inventory exists to meet a customer's required quantity and delivery date
 - If not, available-to-promise (ATP) logic provides delivery proposals:
 - One-time delivery of partial quantity on required delivery date
 - Complete delivery on later date
 - Two partial deliveries on different dates

Order Proposals

The screenshot displays the SAP 'Standard Order: Availability Control' interface. At the top, there is a menu bar with 'Control screen', 'Goto', 'System', and 'Help'. Below this is a toolbar with various icons. The main title 'Standard Order: Availability Control' is followed by a series of tabs: 'One-time delivery', 'Complete dlv.', 'Delivery proposal', 'ATP quantities', 'Scope of check', and 'Other plants'. The 'Delivery proposal' tab is currently selected.

Input fields for the order are as follows:

- Item: 10, Sched.line: 1
- Material: F100
- Plant: NRG-A
- Plant: PT
- Req.deliv.date: 09/07/2004
- End lead time: 09/10/2004
- Open Quantity: 10 CS
- Max.Part.Deliveries: 9
- ☐ Fix qty/date

Below the input fields, there are three sections for delivery proposals, each with a 'Dely/Conf.Date' and a 'Confirmed quantity' field. The first section is for 'One-time del. on req. del. dte' with a date of 09/07/2004 and a confirmed quantity of 5. The second section is for 'Complete delivery' with a date of 09/10/2004. The third section is for 'Dely proposal' with two rows of dates (09/07/2004 and 09/10/2004) and confirmed quantities of 5 and 5 respectively. Each of these three sections has a green checkmark icon next to the confirmed quantity field.

A callout box on the right side of the screen contains the text: 'Three options proposed by SAP R/3'. Three lines connect this box to the green checkmark icons in the three delivery proposal sections.

Figure 3-8 Order proposals

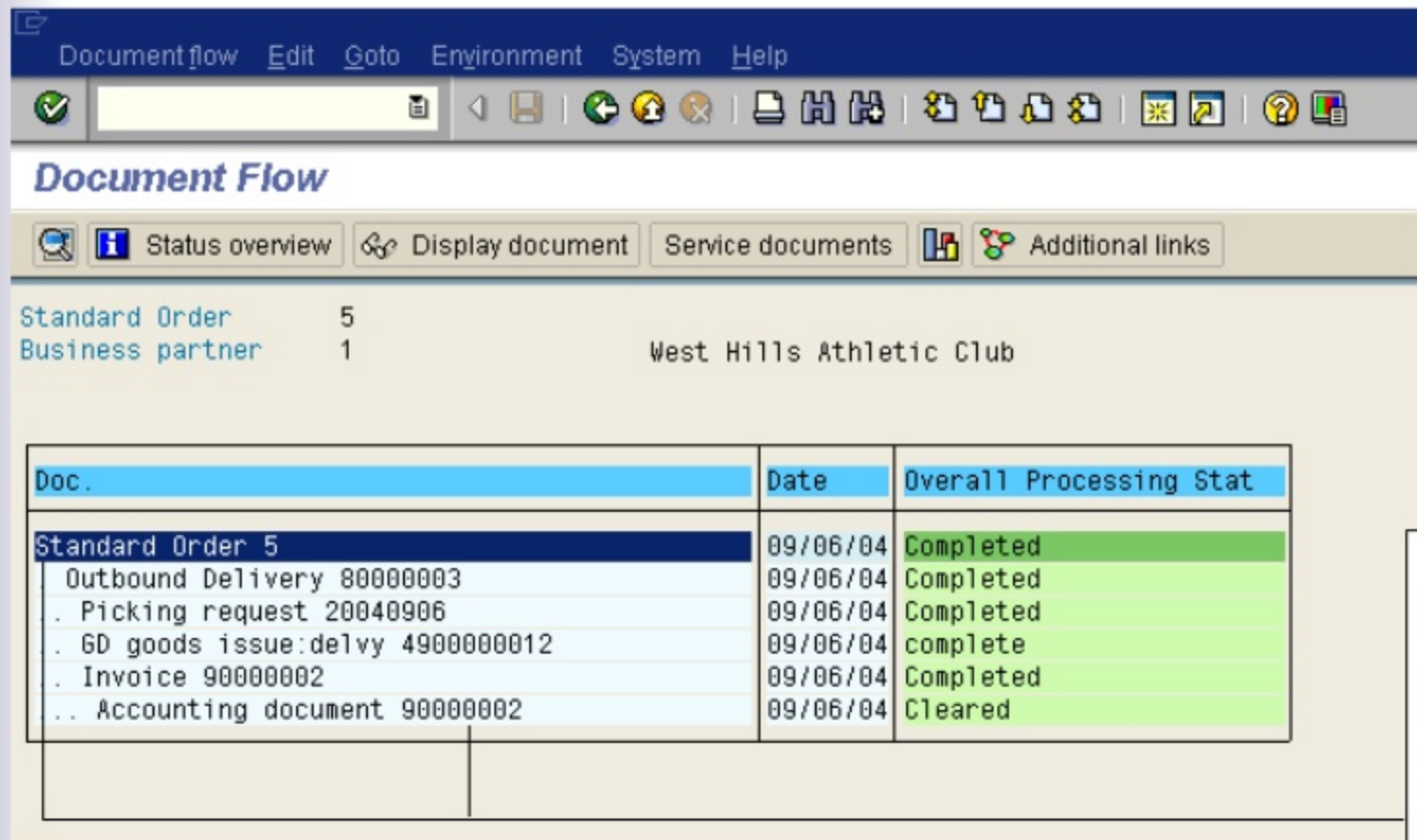
Document Numbers

- The customer refers to the sales transaction via their **Purchase Order Number**—a number that the customer generates
- The seller (known as a supplier or vendor) creates a document number that they use to keep track of the sales order
 - As a result, each party to the sales transaction has a different number to refer to the sales transaction
 - SAP creates the sales order number and records the customer's purchase order number
 - If the sales order is entered manually, an error may be made in keying in the customer's purchase order number

Document Numbers

- Every document in the SAP R/3 system is given a unique number
- A large number of documents can be created in the sales order process:
 - Multiple deliveries can be created for large orders
 - Customers may make multiple payments, resulting in multiple invoices
 - Payments may be made for multiple orders
 - Returns create credits to the customer's account
- **Document Flow** is the tool in SAP that links the multiple documents in a sales order
- With **Document Flow**, one document number can be used to find all documents related to a sales order

Document Flow



Accounting Document 900000002 is linked to sales order 5

Figure 3-9 The Document Flow tool, which links sales order documents

Pricing

- The SAP R/3 system has a flexible system, called the **condition technique**, that can be configured to calculate pricing using a wide range of discount techniques
 - Per item
 - On all items
 - Based on unit price
 - Based on total value
 - With or without shipping
 - By customer or customer class

Pricing

SAP

Sales document Edit Goto Extras Environment System Help

Create Standard Order: Item Data

Sales Document Item 10 Item category TAN Standard item

Material F100 NRG-A

Sales A Sales B Shipping Billing Conditions Account assignment Schedule lines Partners Texts Purchase order data

Qty 10 CS Net 2,160.00 USD Tax 0.00

CnTy	Name	Amount	Crcy	per	U...	Condition value	Curr.	Num...	OU	CCon...	Un	Condition value	CdC...
PR00	Price	240.00	USD		1 CS	2,400.00	USD	1	CS	1	CS	0.00	
	Gross	240.00	USD		1 CS	2,400.00	USD	1	CS	1	CS	0.00	
K007	Customer Discount	10.000	%			240.00	USD	0		0		0.00	
	Discount Amount	24.00	USD		1 CS	240.00	USD	1	CS	1	CS	0.00	
	Rebate Basis	216.00	USD		1 CS	2,160.00	USD	1	CS	1	CS	0.00	
	Net Value for Item	216.00	USD		1 CS	2,160.00	USD	1	CS	1	CS	0.00	
	Net Value 2	216.00	USD		1 CS	2,160.00	USD	1	CS	1	CS	0.00	
	Total	216.00	USD		1 CS	2,160.00	USD	1	CS	1	CS	0.00	
SKT0	Cash Discount	0.000	%			0.00	USD	0		0		0.00	
VPRS	Cost	16.00	USD		1 CS	160.00	USD	1	CS	1	CS	0.00	
	Standard - USA With	199.20	USD		1 CS	1,992.00	USD	1	CS	1	CS	0.00	

Condition rec. Analysis Update

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Net price for order, including discounts

Base price is \$240/case

The production cost of the 10 cases is \$1,992

Discount is 10 percent

Figure 3-10 Pricing conditions for sales order

Price Discounts

Display Customer Discount Condition (K007) : Scales

Sales org. FS Distr. DI Ch1 1 Customer Release status Description
West Hills Athletic Club

Validity		Control data	
Validity period	08/12/2004	ScaleBasis	B Value scale
Valid to	12/31/9999	Check	☐ None

Scales						
Scale Type	Scale value	ScCur	Amount	Unit	per	U...
From	1,000.00	USD	5.000-	%		
	1,500.00		10.000-			

If a line in the order is over \$1000, the discount is 5 percent

If a line in the order is over \$1500, the discount is 10 percent

Figure 3-11 West Hills Athletic Club price discount

Integration of Sales and Accounting

- A major advantage of an ERP system is integration of accounting with other functions like sales
- Whenever a sales order is processed, the appropriate accounts are affected.
- Because sales transactions create the appropriate accounting transactions in real-time, accounting has up-to-date sales information

Accounting Detail

The screenshot shows the SAP 'Display Document: Overview' screen. The menu bar includes Document, Edit, Goto, Extras, Settings, Environment, System, and Help. The toolbar contains various icons for document navigation and actions. The main area displays document details for document number 90000002, company code FS, fiscal year 2004, document date 09/06/2004, posting date 09/06/2004, period 9, reference WH100, and currency USD. A table titled 'Items in document currency' lists three items: West Hills Athletic Club (2,160.00), Sales Revenue (2,400.00-), and Sales Discount (240.00). Two callout boxes provide additional context: one points to the document number field stating it is accessible from the document flow screen, and another points to the account numbers in the table stating they are affected by the sales order.

Document Number: 90000002 Company Code: FS Fiscal Year: 2004
Document Date: 09/06/2004 Posting Date: 09/06/2004 Period: 9
Reference: WH100 Cross-CC no.:
Currency: USD Texts exist: ☐

Items in document currency

Itm	PK	BusA	Acct no.	Description	Tx	Amount in	USD
001	01	1		West Hills Athletic Club		2,160.00	
002	50		600000	Sales Revenue		2,400.00-	
003	40		610000	Sales Discount		240.00	

Accounting document 90000002, accessible from the document flow screen

Accounts affected by the sales order

Figure 3-12 Accounting detail for the West Hills sales order

Customer Relationship Management

- Customer Relationship Management (CRM) helps a company streamline interactions with customers and make them consistent
- Goal is to provide a “single face to the customer”
 - Any employee in contact with a customer should have access to all information on past interactions
 - Information about a customer should reside in the ERP system, not with the employee
- CRM also provides a company with tools to analyze the vast quantities of sales data available from the ERP system

Core CRM Activities

- *One-to-One Marketing:*
 - Customers are categorized and products, promotions, and pricing are tailored accordingly.
 - Sales may be increased by cross-selling and upselling
- *Sales Force Automation (SFA):*
 - New customers are automatically routed to the appropriate sales representative
 - Customer needs are forecasted based on the customer's history and transactions
- *Sales Campaign Management:*
 - Helps a company organize a marketing campaign and compile its results.

Core CRM Activities

- *Marketing Encyclopedias:*
 - Database of promotional literature
 - Material can be routed to sales representatives or customers as needed
- *Call Center Automation:*
 - Customer support can be improved with the assistance of a knowledge management database
 - New solutions to unique customer query can be added to the knowledgebase, making it “smarter”

SAP's CRM Software

- SAP R/3 contains some CRM functionality:
 - Contact management tool:
 - Database of customer contact information
 - Sales activity manager:
 - Supports a strategic and organized approach to sales activity planning
 - Helps ensure follow-up activities are accomplished

Contact Manager

The screenshot shows the 'Contact Person Create' dialog box in SAP R/3. The window has a menu bar (Contact Person, Edit, Goto, Extras, Environment, System, Help) and a toolbar. Below the title bar, there are tabs for 'Visiting Hours...', 'Business Address...', and 'Home Address...'. The main form area is divided into several sections:

- Customer:** 1, West Hills Athletic Club, Kalamazoo
- Contact person:** NEW 001
- VIP:** 1
- Gender:** Female
- Department:** 0002
- Date of birth:** 08/05/1964
- Function:** 02
- Power of att.:** H
- Higher partner:** (empty field)
- Rep. number:** (empty field)
- Call frequency:** 0003
- Advertising mat:** ☒
- Buying habits:** (empty field)
- Remarks:** Sole purchasing agent

Below the main form, there is a 'Preview' button and a 'Person' tab. The 'Person' tab contains the following fields:

- Title:** Ms.
- Last name:** Kubota
- First name:** Lisa
- Academic Title:** MBA
- Format:** (empty field)
- Function:** Purchasing Manager
- Department:** Purchasing
- Room Number:** 45A
- Floor:** 2nd
- Building:** (empty field)

At the bottom, there is a 'Communication' tab with the following fields:

- Language:** English
- Other communication...** (button)
- Telephone:** (empty field)
- Extension:** (empty field)

Figure 3-13 SAP R/3 contact manager

Sales Activity Manager

Sales activity

Type: Sales Call
From: 09/06/2004 20:40
To: 09/06/2004 20:40
Comment:

Contact persons

Company: 1 West Hills Athletic Club / 200
Contact person: 10 MBA Lisa Kubota / 2001 S. 11th St
Employee respons.: 0

Follow-up actions

Create standard order Start Link objects

Description

Reason: Regular Sales Call
Initiator: ☐ Business partner ☒ Us
Status: Open
Outcome: Successful
OutcomeAnalysis: 001

Preparation

English
Review current plans and interest in new products

Organizational unit

Sales Org.: Fitter Sales
Distr. Channel: Direct
Division: Snack Bars
Sales office: Southern Sales
Sales group: Southwest

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Figure 3-14 SAP R/3 sales activity manager

mySAP CRM

- A separate CRM system has the advantage of not interfering with the performance of the ERP system
- The SAP R/3 system provides the raw data for CRM
- R/3 and CRM can also interact with:
 - Business Warehouse (BW):
 - Flexible system for reporting and analysis of data
 - Advanced Planner and Optimizer
 - System to support flexible planning of the supply chain
 - Provides improved customer service with Global ATP

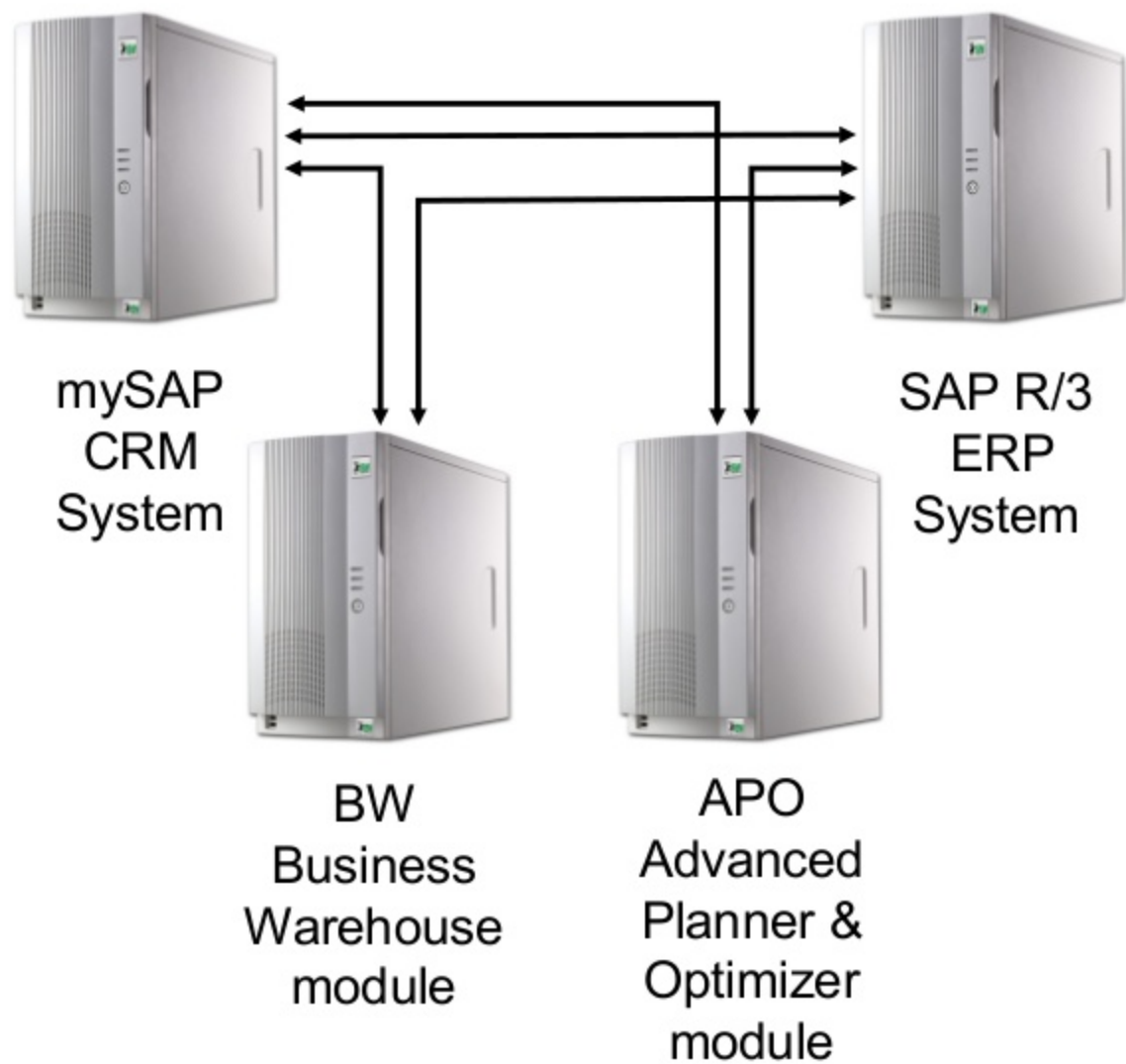


Figure 3-15 SAP CRM system landscape

mySAP CRM

- SAP's CRM manages three basic task areas:
 - Marketing
 - Sales
 - Service
- The three basic tasks contribute to the cultivation of the customer relationship.
- Cultivating a customer relationship involves four phases:
 - Prospecting
 - Acquiring
 - Servicing
 - Retaining

Cultivating a Customer Relationship

- Prospecting:
 - Potential new customers are evaluated and development activities (e-mails, sales calls, mailings, etc.) are planned
 - Marketing tasks predominate in this phase.
- Acquiring:
 - Salespeople develop business prospects into customers
 - Sales tasks (processing inquiries, quotes, and sales orders) become increasingly important in this phase.

Cultivating a Customer Relationship

- Servicing:
 - Technical support, warrantee work, product returns, quality problems, complaint handling, etc. are critical to maintain satisfied customers.
- Retention
 - The rate at which a prospect becomes a customer is quite low, thus, retention is critical as it is easier to retain good customers than to find new ones
 - Timely delivery of quality products and services at a fair price is the focus
 - Marketing must anticipate changes in customer requirements

Marketing and Campaign Planning

- Companies spend significant sums on marketing campaigns
- Successful planning, execution and evaluation are necessary to achieve the maximum benefit
- mySAP CRM supports:
 - Marketing and Campaign Planning
 - Target Group Selection
 - Campaign Execution Activity Management
 - Campaign Analysis

Marketing and Campaign Planning

- Marketing and Campaign Planning:
 - Task scheduling, resource allocation and budgeting
- Target Group Selection:
 - Data from the SAP R/3 system (perhaps using BW) is used to categorize the company's customers to offer more individual product and service promotions
- Campaign Execution Activity Management:
 - Manage the execution of the marketing campaign, including handling sales calls, mailings, personalized e-mailings and Web-based promotional activities
- Campaign Analysis:
 - Evaluate the success of the campaign via lead generation and response rates
 - Plan improvements for the next marketing campaign
 - BW tools can support this analysis

Marketing and Campaign Planning

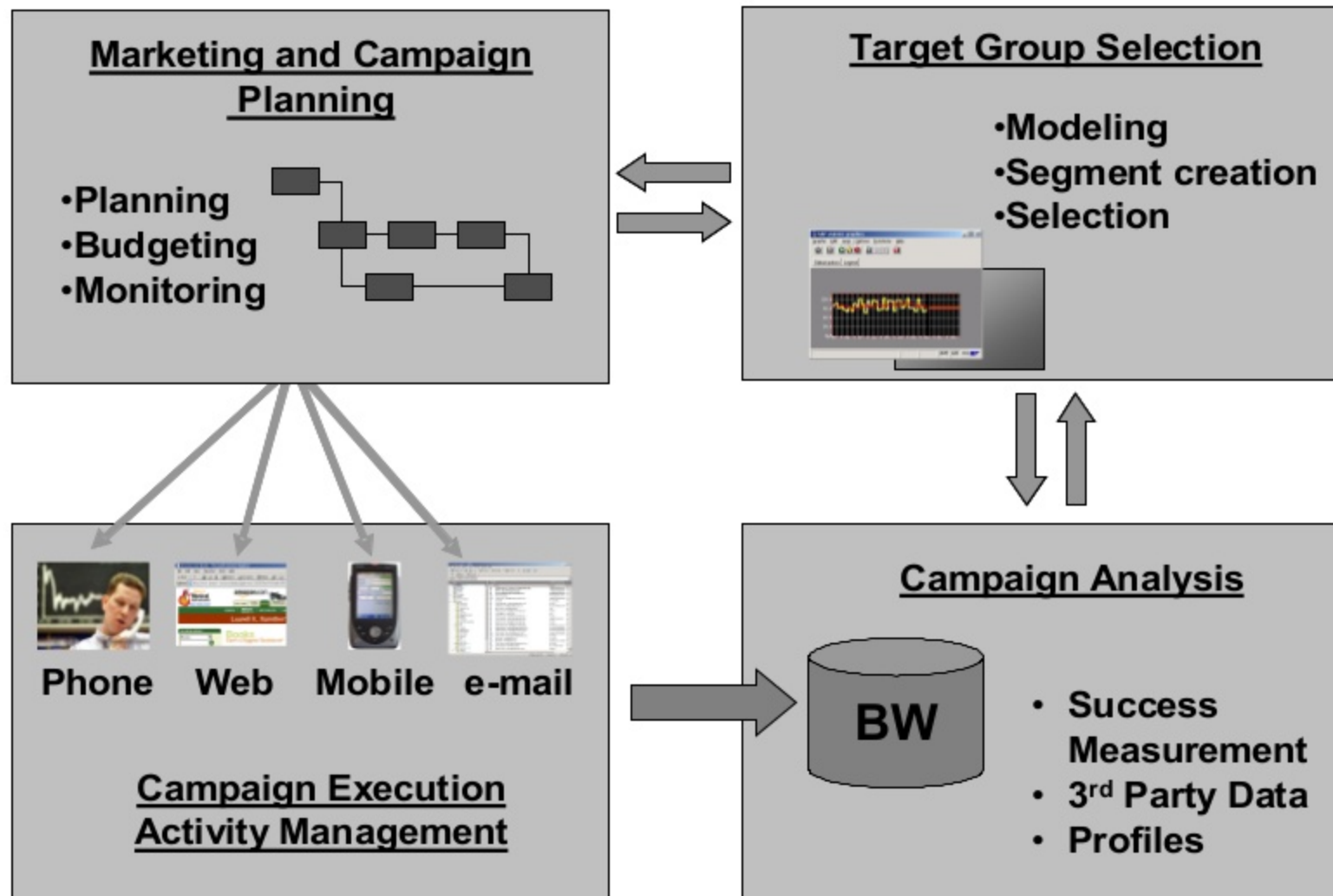


Figure 3-15 Marketing and campaign planning

Benefits of CRM

- *Lower costs:*
 - Better response times in call center operations and better use of sales force time lowers costs.
- *Higher revenue:*
 - Segmenting customers provide improves selling, increasing revenues.
- *Improved strategy and performance measurement:*
 - With CRM in place, management can think about different performance measures:
 - Should salespeople be rewarded for exceeding sales quotas and marketing people rewarded for finding new customers?
 - Should both receive rewards that are based on some measure of customer satisfaction?
 - CRM can lead to all personnel thinking in terms of a company-wide effort to satisfy customers.

Another Look: CRM Success and Failure

- CRM is often incorrectly viewed as a technology implementation driven by the IT department
- CRM should be viewed as a business strategy
- CRM tools can help identify the most profitable customers
- Volvo Cars of North America is using predictive modeling to find new customers
- Tesco combines CRM analysis with exceptional customer service
- Financial companies are using CRM to move from being one-time sellers to selling a range of financial products

Summary

- Fitter Snacker's un-integrated information systems are at the root of an inefficient and costly sales order process. Because information is not shared in real-time, customers are asked to repeat initial sales order information. As an order is processed, errors in pricing, credit checks, and invoicing also occur, presenting a poor company image to customers. Integrated ERP software would let FS avoid errors because all customer data are stored in a central database that is shared in real-time by all company employees.

Summary

- An ERP system such as SAP's R/3 sees a sale as a cycle of related functions, including taking orders, setting prices, checking product availability, checking the customer's credit line, arranging for delivery, billing the customer, and collecting payment. In R/3 all these transactions, or documents, are electronically linked, so tracking an order's status (partial shipments, returns, partial payments, and so forth) is easily accomplished.

Summary

- When an ERP system is installed, various configuration decisions are made. These decisions reflect management's desires of how transactions should be recorded and later used for decision-making. For example, the system can be configured to limit selling price discounts, thus avoiding unprofitable pricing.
- An ERP system's central database has master data tables for customers, suppliers, and inventory. The tables hold relatively permanent information about each subject.

Summary

- Customer Relationship Management (CRM) systems build on the organizational value ERP provides; it specifically increases the flexibility of the company's common database in regards to customer service. Various kinds of CRM software are available, some from ERP vendors (including SAP) and some from third-party software companies. CRM software can lead to operational savings, but most companies buy it because they feel that having better customer relationships will result in higher revenues. Uses of CRM have evolved since the software was initially launched, beginning as a customer contact repository to extending its capabilities to sophisticated business intelligence.